with other countries outside the sterling area, such as Switzerland, Canada and possibly also Iran.'[15]

A series of negotiations led to the creation by the British Treasury of a Reconstruction Fund, into which $20 million would be credited annually to be held by the RBI in a dollar account with the Bank of England. But this failed to satisfy both public opinion in India, and potential exporters to India and the US. The relevant announcement in February 1944, by the Finance Member explained that the Fund would be apart from, and in addition to, India's current dollar requirements, which were met from the Empire Dollar Pool. Deshmukh was anxious that some part at least of India's past contributions to the Pool should be made available to India. In the course of my letter to the Government, of December 5, 1944, he said: 'I think Government owe it to the public to satisfy themselves that only that amount of dollars is retained by the UK out of its (India's) surplus earnings which can reasonably be regarded as furthering the common war effort'.

Deshmukh had been opposed to India's continuance in the Empire Dollar Pool for the reason that India's contribution of surplus dollars to the Pool, were not necessarily going to be available to her as a reserve for the future. Deshmukh had suggested that the favourable balance that India would have with the US after January 1, 1946, should be earmarked for future needs and excluded from any other allotments of foreign exchange which may be agreed upon in view of India's contributions to the Dollar Pool upto December 31, 1945. Deshmukh chose to air his views in a speech at the annual meeting of the bank's shareholders in August 1946. He felt that the Pool had outlived its utility and as far as India was concerned, it could no longer exist once the IMF started its operations at the beginning of the next year. Sir Eric Coates, the Finance Member, wanted Deshmukh to tone down his utterances. Deshmukh in reply said that no embarrassment could be caused to the government by stating facts which were in India's interest. This was yet another occasion when Deshmukh found it necessary to assert the bank's independence from government.

Initially in favour of an immediate withdrawal from the Pool or the sterling area, Deshmukh modified his recommendation to the effect that this should not take place till the Fund had started operations. India had a lot to gain from the various monetary agreements made by the British government. He suggested advising the British government that the general